UNITED STATES BANKRUPTCY COURT
DISTRICT OF CONNECTICUT
BRIDGEPORT DIVISION

IN RE: HO WAN KWOK, et al., Debtors. --- LUC A. DESPINS, Chapter 11 Trustee *Plaintiff,* vs. INTERNATIONAL TREASURE GROUP LLC, *Defendant.*	Chapter 11 Case No: 22-50073 (JAM) (Jointly Administered) Adversary Proceeding No. 24-05119

MEMORANDUM OF LAW IN SUPPORT OF
DEFENDANT INTERNATIONAL TREASURE GROUP LLC'S
MOTION TO VACATE ENTRY OF DEFAULT AND DEFAULT JUDGMENT

Defendant International Treasure Group, LLC (the "Defendant"), by and through undersigned counsel, respectfully submits this Memorandum of Law in Support of its Motion to Vacate (i) the Clerk's Entry of Default entered on July 31, 2024 (the "Entry of Default") [Docket No. 19] and (ii) the Default Judgment entered against it on October 30, 2025 (the "Default Judgment", and together with the Entry of Default, the "Default") [Docket No. 38]; and the Affidavit of Paulo Figueiredo (the "Figueiredo Affi.") and the exhibits attached thereto.

INTRODUCTION

1. This Motion is brought pursuant to Fed. R. Civ. P. 55(c) and 60(b), made applicable to this adversary proceeding by Fed. R. Bankr. P. 7055 and 9024, and in accordance with D. Conn. Bankr. R. 7055-1 and 7007-1 (incorporating D. Conn. L. Civ. R. 7 for motion practice in adversary

proceedings).

2. Good cause exists to set aside the Default because: (a) Defendant's default was not willful; (b) Defendant has meritorious defenses to the Complaint; and (c) vacatur of the Default will not unduly prejudice Plaintiff.

PROCEDURAL HISTORY

3. On February 15, 2022 (the "Petition Date"), the Debtor filed a voluntary petition for relief under Chapter 11 of Title 11 of the United States Code (the "Bankruptcy Code") in the United States Bankruptcy Court for the District of Connecticut (the "Bankruptcy Court"), thus commencing the above-captioned chapter 11 case (the "Chapter 11 Case").

4. On February 11, 2024, the Plaintiff commenced the present Adversary Proceeding by filing a complaint against the Defendant (the "Complaint"). In the Complaint, the Plaintiff sought to recover the amount of $140,000.00 (the "Transfers") from the Defendant as alleged fraudulent conveyance transfers under 11 U.S.C. §§ 548(a)(1)(A), 544(b), and 550, as well as New York Debtor & Creditor Law §§ 273, 274, and 276 [Docket No. 1].

5. On February 16, 2024, the Clerk issued a summons directed to the Defendant. [Docket No. 3]

6. On February 21, 2024, the Plaintiff filed a Notice of Applicability of the Avoidance Action Procedures Order in this Adversary Proceeding, making the streamlined avoidance and mediation procedures in the Chapter 11 Case applicable here. [Docket No. 4]

7. On March 28, 2024, the Plaintiff filed a certificate of service reflecting service of the Complaint, Summons, and related documents on the Defendant at its Weston, Florida address[1] by first-class mail and overnight delivery. [Docket No. 8]

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[1] The specific address is 4394 Fox Ridge Drive, Weston, FL 33331

8. On April 19, 2024, the parties filed a stipulation extending the Defendant's time to answer or otherwise respond to the Complaint, evidencing the Defendant's initial intent to defend. [Docket No. 10]

9. On May 10, 2024, the Plaintiff filed a Notice of Entry of Avoidance and Mediation Procedures. [Docket No. 12]

10. On May 14, 2024, attorney Ronald Ian Chorches filed a notice of appearance as counsel of record for the Defendant in the Adversary Proceeding [Docket No. 13]. Subsequently, on June 21, 2024, Mr. Chorches filed a Motion to Withdraw Appearance as Counsel for the Defendant [Docket No. 14], which the Bankruptcy Court granted on July 2, 2024 [Docket No. 17].

11. On July 26, 2024, the Plaintiff filed a Request for Entry of Default against the Defendant for failure to plead or otherwise defend in response to the Complaint. [Docket No. 18]

12. On July 31, 2024, the Clerk entered the Entry of Default against the Defendant pursuant to Federal Rule of Bankruptcy Procedure 7055 and Federal Rule of Civil Procedure 55(a). [Docket No. 19]

13. On September 2, 2025, the Plaintiff filed a Motion for Default Judgment against the Defendant pursuant to Federal Rule of Civil Procedure 55(b)(2), as incorporated by Federal Rule of Bankruptcy Procedure 7055, together with a supporting memorandum of law and the Declaration of Patrick Linsey and exhibits (the "Default Judgment Motion"). [Docket Nos. 26–28]

14. On September 5, 2025, the Plaintiff filed a Certificate of Service reflecting service of the Default Judgment Motion and supporting papers on the Defendant by first-class mail at the Weston, Florida address of record. [Docket No. 29]

15. On October 7, 2025, the Bankruptcy Court conducted a consolidated hearing on multiple avoidance-action default judgment motions, including the Plaintiff's Default Judgment

Motion against the Defendant.

16. On October 30, 2025, the Bankruptcy Court entered an Order Granting the Motion for Default Judgment and a separate Default Judgment against the Defendant in the amount of $140,000.00, together with prejudgment interest. [Docket Nos. 37–38]

17. On November 1, 2025, the Bankruptcy Noticing Center filed a Certificate of Mailing reflecting service of both the Order Granting Default Judgment and the Default Judgment itself on the Defendant at its Weston, Florida address by first-class mail. [Docket Nos. 40-41]

FACTUAL BACKGROUND

I. THE DEBTOR, HCHK, AND THE GETTR PLATFORM

18. Debtor Ho Wan Kwok, together with Genever Holdings LLC and Genever Holdings Corporation (collectively, the "Debtors"), commenced these chapter 11 cases on February 15, 2022. Chapter 11 trustee Luc A. Despins (the "Trustee") was appointed to administer the Debtors' estates. ¶¶ 9, 12 of the Complaint

19. The Trustee alleges that certain non-debtor entities operated as alter egos or instrumentalities of the Debtor and were used to move and conceal assets. One such entity is HCHK Technologies Inc. ("HCHK"), which the Trustee alleges was controlled by the Debtor and his close associates and used as a funding vehicle for various projects. ¶ 13 of the Complaint

20. The Trustee further alleges that a social media/technology platform known as GETTR ("GETTR"), was one of several entities that were controlled by the Debtor, led by the Debtor and/or served "the purposes of... and as business vehicles of" the Debtor. ¶ 17 of the Complaint

II. THE BUSINESS RELATIONSHIP BETWEEN THE DEBTORS AND THE DEFENDANT

21. The Defendant is, and has always been, a small consulting operation. For most of its existence, it functioned as a sole proprietorship consisting solely of Mr. Paulo Figueiredo ("Mr. Figueiredo"). In 2024 it was converted into a C-corporation for tax and contractual purposes. Mr. Figueiredo is the company's sole employee. The Defendant has no administrative staff, no office personnel, and no in-house legal department. When additional work is required, Defendant relies on independent contractors or vendors, including a Brazilian collaborator who assists on certain projects. _See_ Figueiredo Affi. ¶¶ 3–5

22. In mid-2021, representatives of GETTR, a social media platform then being launched under the leadership of Mr. Jason Miller ("Mr. Miller"), approached Mr. Figueiredo, principal and sole owner of Defendant, regarding consulting services for GETTR's expansion and large-scale launch in Brazil. _See_ Figueiredo Affi. ¶ 6

23. Over the next several months, Defendant, working through Mr. Figueiredo and a small team of Brazil-based collaborators, prepared proposals, drafts, and a final consulting agreement setting forth the scope of work, fees, and term of engagement. These materials include, among others, written proposals, a consulting agreement with GETTR USA, Inc., and later renewal and extension proposals. _See_ Figueiredo Affi. ¶¶ 7–8

24. After negotiations, GETTR agreed to proceed with the consulting relationship, and the parties entered into an agreement (the "Consulting Agreement"). Under the Consulting Arrangement, Defendant agreed to provide a comprehensive suite of services to GETTR, including: (a) media and public-relations strategy for GETTR's launch and growth in Brazil; (b) political and legal risk analysis concerning Brazilian elections, regulatory and legal exposure, and reputational and security risks; (c) content and messaging support, including briefing scripts,

talking points, and coordination for interviews and broadcasts; (d) business-development and growth strategy, including identification and management of in-country vendors and influencers; and (e) regular written status reports, performance dashboards, and updates to GETTR's management. Said agreement also contemplated that Defendant would be compensated through fixed monthly fees (and, in some iterations, potential performance-based components) in exchange for the services described above. The engagement was presented to GETTR's board and management as a legitimate, arm's-length professional services contract, and Defendant structured and performed its work in that manner. *See* Figueiredo Affi. ¶ 9

25. The Consulting Agreement and related Proposal Documents reflect the core understanding that Defendant would advise GETTR on its launch and growth strategy in Brazil, including legal and political risk analysis, media and public relations strategy, influencer outreach, and business-development support. *See* Figueiredo Affi. ¶ 10

26. In early 2022, as the initial period of consulting work progressed, Defendant provided GETTR with a renewal or extension proposal for continued consulting services into the following year. *See* Figueiredo Affi. ¶ 11

27. To pay Defendant's consulting fees, GETTR arranged for funds to be wired from corporate entities associated with GETTR. One such entity was HCHK. From Defendant's vantage point, HCHK simply functioned as the designated payor entity. Defendant never negotiated with the Debtor personally, played no role in structuring the Debtor's entities, and had no reason to believe HCHK's funds would later be alleged to constitute property of the Debtor or proceeds of any fraudulent scheme. For the Defendant, the Transfers reflected ordinary-course payment for substantial consulting services already performed. Defendant received the payments through ordinary banking channels and recorded them as consulting income. *See* Figueiredo Affi. ¶ 16

28. The Complaint alleges that HCHK transferred $140,000 to Defendant as initial transferee. The Trustee characterizes the Transfers as actually fraudulent and constructively fraudulent under Bankruptcy Code §548 and New York Debtor & Creditor Law §§ 273, 274, and 276. ¶¶ 30–32, 34–35, 38–40 of the Complaint. Defendant's understanding, however, was that these payments were routine settlement of consulting invoices under its GETTR engagement. *See* Figueiredo Affi. ¶ 16

29. Defendant did not participate in any alleged "shell game." Defendant did not control HCHK or any Debtor-related entity, had no access to the Debtor's internal finances, and was not privy to any alleged scheme to hinder, delay, or defraud creditors. Defendant's involvement was limited to providing legitimate consulting services to GETTR and accepting payment for those services. *See* Figueiredo Affi. ¶ 17. Upon information and belief, at the time of the transfers by HCHK to Defendant that are at issue in this adversary proceeding that allegedly occurred prior to the Petition Date, it had not been alleged or otherwise found by any Court that HCHK was an *alter ego* of the Debtors.

III. EVENTS LEADING TO THE DEFAULT JUDGMENT

30. In 2023 and 2024, Defendant and Mr. Figueiredo experienced significant financial strain due to disruptions in business operations, including the impact of political developments in Brazil and reduced consulting opportunities, resulting in limited cash flow and an inability to consistently afford United States counsel. *See* Figueiredo Affi. ¶ 18

31. When the Trustee first filed this adversary proceeding, Defendant retained Jones & Associates as its primary counsel. Attorney Ronald I. Chorches was then engaged to serve as local counsel in the case. Following this, Attorney Chorches entered an appearance and secured an extension of time for Defendant to respond to the Complaint. *See* Figueiredo Affi. ¶ 19

32. By mid-2024, Defendant could no longer afford the services of counsel. The attorney client relationship between the Defendant, Jones & Associates and Attorney Chorches, was terminated. Attorney Chorches moved to withdraw as local counsel, and the Court granted that motion. After the withdrawal, Defendant lacked the financial resources to retain new counsel and Mr. Figueiredo attempted to monitor the case himself, despite having no prior experience in United States bankruptcy litigation. *See* Figueiredo Affi. ¶ 20

33. The year 2024 represented the low point of Defendant's financial condition, whereas 2025 was the first year in which the company's finances improved sufficiently for Defendant to consider retaining counsel again once it became aware of the default judgment. *See* Figueiredo Affi. ¶ 26–28

34. Defendant's registered address for service of process is Mr. Figueiredo's home address at 4394 Fox Ridge Drive, Weston, Florida (the "Weston Address"), which he shares with family members and which his ex-wife also periodically visits to collect personal mail. Mail delivered to the Weston Address is not screened by any office staff; envelopes are left in common household areas and may be collected or discarded by any household member, and the address receives a large volume of unsolicited advertisements and other junk mail, so that important items can be mixed with junk and thrown away, particularly when envelopes do not clearly indicate that they pertain to legal proceedings. *See* Figueiredo Affi. ¶¶ 5, 21–23.

35. To the best of Mr. Figueiredo's recollection, he never saw a copy of the Trustee's Request for Entry of Default[2] or the Clerk's Entry of Default, nor does he recall receiving any

[2] The Certificate of Service in the July 26, 2024 Request of Chapter 11 Trustee for Entry of Default [Docket No. 18] states that it was served by first-class mail to "International Treasure Group LLC, 4934 Fox Ridge Drive, Weston, FL 33331" and "International Treasure Group LLC, Paulo R. Oliveira Figueiredo, 4934 Fox Ridge Drive, Weston, FL 33331." ITG's registered address has at all relevant times been 4394 Fox Ridge Drive. Defendant does not rest this Motion solely on any irregularities in the addressing of that Request, but this discrepancy further helps explain why Mr. Figueiredo did not see any notice relating to the Entry of Default.

mailing that clearly indicated the existence of an Entry of Default against Defendant. *See* Figueiredo Affi. ¶ 24

36. Between August and November of 2025, Mr. Figueiredo was frequently traveling, including extended trips to Washington, D.C. He was devoting substantial time and attention to serious personal legal and security issues arising out of his political activities in Brazil. These circumstances further contributed to his reliance on the informal mail-handling practices at the Weston Address and help explain why any earlier bankruptcy-court mailings, if delivered, did not come to the Defendant's attention. *See* Figueiredo Affi. ¶ 25

37. The first time Mr. Figueiredo personally realized that a default judgment had been entered against Defendant was when he opened mail from the Court which had an enclosed a copy of the October 30, 2025 Default Judgment. He believes that this took place in early November 2025. *See* Figueiredo Affi. ¶ 26

38. Upon reading the Default Judgment, Mr. Figueiredo understood for the first time that the Trustee had obtained a monetary judgment for the full amount demanded in the Complaint, and he was shocked and extremely concerned because he believed Defendant had strong defenses and had provided real value to GETTR. *See* Figueiredo Affi. ¶ 27

39. Within one-(1) week of discovering the Default Judgment, Mr. Figueiredo reached out to legal counsel to determine how to challenge it. After discussing his financial circumstances and the events that led to the default, Defendant retained counsel for the specific purpose of seeking relief from the Entry of Default and the Default Judgment. *See* Figueiredo Affi. ¶ 28

40. Defendant has at all times intended to defend this case on the merits and acted promptly once it understood the need to do so. Defendant is filing this Motion as soon as it received actual notice of the Default Judgment and, as further evidence of its diligence, has prepared a

Proposed Answer to the Complaint. *See* Figueiredo Affi. ¶ 29

41. During 2024 and prior to his receipt of the Default Judgment, Mr. Figueiredo was under the impression that this adversary proceeding would proceed to mediation. This impression arose from his review of the materials filed in this case, including the Court's May 2, 2024 Mediation Order [Docket No. 12] and related correspondence in the record, which indicated that this adversary proceeding had been assigned to mediation. *See* Figueiredo Affi. ¶ 30

42. In light of this understanding, and given his lack of legal training, Mr. Figueiredo believed in good faith that any dispute involving the Defendant would be addressed and resolved through the mediation process. He did not understand that a default judgment could be entered against Defendant without such mediation occurring. *See* Figueiredo Affi. ¶ 31

43. Defendant has preserved the GETTR consulting files, including agreements, reports, scripts, correspondence, and banking records, and is prepared to produce them in discovery. *See* Figueiredo Aff. ¶¶ 32–33

44. Defendant submits that its failure to respond resulted from financial hardship, mail-handling problems, and misunderstanding of complex global procedures—not willful disregard—and that it acted promptly once it learned of the Default Judgment. *See* Figueiredo Affi. ¶ 34

SUMMARY OF RELIEF REQUESTED

45. The Defendant respectfully requests that this Court vacate both the Entry of Default and the Default Judgment entered against it and permit this Adversary Proceeding to go forward on the merits. As shown below, Defendant's default was not willful, Defendant has meritorious defenses to the Trustee's claims, and vacatur will not prejudice the Trustee given the coordinated avoidance-action procedures already governing this case.

ARGUMENTS IN FAVOR OF VACATING THE DEFAULT

I. APPLICABLE LAW

46. Federal Rule of Civil Procedure 55 establishes a two-(2) step process for default and default judgment: first, the clerk's entry of default under Rule 55(a) when a party "has failed to plead or otherwise defend," and second, entry of a default judgment under Rule 55(b). In adversary proceedings, Rule 55 applies through Federal Rule of Bankruptcy Procedure 7055. *See, e.g.*, *Enron Oil Corp. v. Diakuhara*, 10 F.3d 90, 95–96 (2d Cir. 1993).

47. Once a default has been entered, Rule 55(c) provides that "[t]he court may set aside an entry of default for good cause, and it may set aside a final default judgment under Rule 60(b)." Relief from a default judgment is governed by Rule 60(b), incorporated in bankruptcy cases by Federal Rule of Bankruptcy Procedure 9024, which permits a court to relieve a party from a final judgment for, among other reasons, "mistake, inadvertence, surprise, or excusable neglect," that the judgment is void, or for "any other reason that justifies relief." Fed. R. Civ. P. 60(b)(1), (4), (6).

48. This Motion is timely under Rule 60(c)(1) because the Default Judgment was entered on October 30, 2025, and Defendant is seeking relief less than two months after receiving actual notice and well within Rule 60(c)(1)'s one-(1) year outer limit.

II. DEFENDANT'S FAILURE TO RESPOND WAS THE PRODUCT OF EXCUSABLE NEGLECT, NOT WILLFUL DISREGARD

49. In *Pioneer Investment Services Co. v. Brunswick Associates, Ltd.*, 507 U.S. 380 (1993), the Supreme Court explained that "excusable neglect" is an elastic, equitable concept and that courts must consider all relevant circumstances—including the danger of prejudice to the non-movant, the length and impact of the delay, the reason for the delay (particularly whether it was within the movant's reasonable control), and whether the movant acted in good faith—in deciding

whether a deadline may be extended. *Id. at 392–95*. Excusable neglect is therefore not limited to situations where the failure to act was caused by circumstances beyond the filer's control. *Id.* The Second Circuit has applied Pioneer in the Rule 60(b)(1) context and has instructed that this standard should be construed generously when a party seeks to vacate a default judgment. *Am. Alliance Ins. Co. v. Eagle Ins. Co.*, 92 F.3d 57, 61 (2d Cir. 1996).

50. The relevant inquiry for determining willfulness is the defaulting party's actions after it became aware of the existence of the litigation or entry of default. See, e.g., *In re FairPoint Communs., Inc.*, 462 B.R. 75 (Bankr. S.D.N.Y. 2012); *In re JWP Info. Servs., Inc.*, 231 B.R. 209, 212 (Bankr. S.D.N.Y. 1999) ("It is [the party's] actions after he became aware of the existence of the Trustee's motion . . . that reaches the level of willfulness."). Thus, even where notice was adequate and the defaulting party failed to rebut the presumption of receipt, if the party responded promptly after learning of the action, courts have found that the party's default was not willful. See, e.g. *In re Fairpoint Comm'cns, Inc.*, 462 B.R. at 81 (holding that defendant's default was not willful where he filed a motion for reconsideration eleven days after discovering that an order had been issued against him).

51. As noted above, in this Circuit a default is "willful" only where there is "bad faith, or at least something more than mere negligence," and courts are to construe "good cause" and Rule 60(b) "generously" in favor of decisions on the merits. *American Alliance Ins. Co. v. Eagle Ins.* Co., 92 F.3d 57, 60–61 (2d Cir. 1996); *Enron Oil Corp. v. Diakuhara*, 10 F.3d 90, 96 (2d Cir. 1993). Under this standard, Defendant's conduct, while regrettable, falls squarely within "excusable neglect," not willful disregard of the Court or the Trustee. The focus is on a party's conduct after learning of the default, not on earlier inadvertence.

52. As previously mentioned, Defendant is a small consulting firm with no in-house

legal department. The Defendant's office is the Weston, Florida home of its principal, Mr. Figueiredo. *See* Figueiredo Affi. ¶¶ 3-5. Defendant took the initial Complaint seriously: it promptly retained bankruptcy counsel, who entered an appearance, negotiated an extension of Defendant's time to respond, and began to address the claims. Defendant's failure to timely answer did not occur while it was ignoring the case; it occurred only after the attorney–client relationship between Defendant and its counsel ended in mid-2024 due to Defendant's financial hardship, after which, Mr. Figueiredo tried his best to monitor the case on his own until he could afford to retain counsel again. (id. ¶¶ 19-20).

53. There is likewise no history of repeated noncompliance or conscious disregard of this Court's orders. To the contrary, Defendant's conduct shows an intent to participate: it appeared through counsel, negotiated a stipulation extending its time to respond, and then lapsed only after losing that representation due to financial hardship. *See* Figueiredo Affi. ¶¶ 19-20. This is a far cry from the sort of "persistent failure to comply" or deliberate stonewalling that courts have found sufficient to support a finding of willfulness.

54. The record further shows that, after counsel's withdrawal, the Trustee requested entry of default and the Clerk entered the Entry of Default in July 2024, but there is no indication on the docket that either the Request for Entry of Default or the Clerk's Entry of Default was separately mailed to the Weston Address. By contrast, the docket affirmatively reflects mailed service of (i) the Motion for Default Judgment, supporting papers, and Notice of Hearing in September 2025, and (ii) the Order Granting Motion for Default Judgment and the Default Judgment in November 2025. In other words, there is no evidence that Defendant ever received targeted notice that an Entry of Default had actually been entered before the Trustee sought a money judgment more than a year later, and the first mailing that Mr. Figueiredo recalls actually

seeing is the envelope containing the Default Judgment itself. *See* Figueiredo Affi. ¶ 26. Given the informal household mail-handling at the Weston Address, the large volume of junk mail received there, and Mr. Figueiredo's frequent travel during that period, it is likely that any such mailing was misplaced or discarded before Mr. Figueiredo had any meaningful opportunity to review it. (id. ¶¶ 22-23, 25). In any event, he never consciously chose to ignore the Motion for Default Judgment.

55. During this period, Defendant was experiencing severe financial hardship—the same hardship that forced it to terminate counsel—and Mr. Figueiredo, who has no prior experience with U.S. bankruptcy litigation, was left to monitor court mailings on his own while traveling extensively and addressing serious personal legal and security threats arising from his political activities in Brazil. *See* Figueiredo Affi. ¶¶ 18, 20, 25. Based on his review of the filings and correspondence in this specific adversary proceeding, including the Court's May 2, 2024 Mediation Order stating that this case had been referred to mediation (id. ¶ 30), Mr. Figueiredo reasonably and in good faith believed this matter would proceed to mediation and did not understand that a default judgment could be entered without mediation first occurring (id. ¶ 31).

56. Against this backdrop, any failure by Mr. Figueiredo to respond to any September 2025 mailing of the Motion for Default Judgment and Notice of Hearing, if delivered to the Weston Address, was, at worst, a product of confusion, financial strain, frequent travel, and breakdowns in Defendant's informal mail-handling procedures—and not a conscious decision to ignore this Court or the Trustee. The Second Circuit has repeatedly held that such "carelessness or negligence," even where serious, does not amount to the kind of willful, bad-faith conduct that justifies leaving a default judgment in place. *American Alliance*, 92 F.3d at 60–61.

57. Mr. Figueiredo did not become aware that a default judgment had actually been

entered against Defendant until early November 2025, when he opened an envelope from the United States Bankruptcy Court delivered to the Weston Address and reviewed the October 30, 2025 Default Judgment and related materials. See Figueiredo Affi. ¶ 26. He takes court documents seriously, and upon understanding that a money judgment had been entered, he acted promptly: he sought professional legal representation to ask for assistance and initiated the process of retaining counsel to seek relief. Defendant then moved, within weeks, to retain counsel for the specific purpose of setting aside both the Entry of Default and the Default Judgment. (id. ¶¶ 27-28). In the Second Circuit, this sequence of events does not constitute "willful" default. In *Enron Oil Corp. v. Diakuhara*, 10 F.3d 90 (2d Cir. 1993), the Court of Appeals emphasized that default judgments are "harsh and drastic," are "disfavored," and that willfulness requires conduct that is "more than merely negligent or careless." Id. at 95–96. There, as here, the defendant was a non-lawyer who became confused about procedural obligations and acted promptly upon realizing a default had been entered. The Second Circuit held that such circumstances do not constitute willfulness and warrant vacatur. See also *Davis*, 713 F.2d at 915–16; *Tripmasters*, 1984 U.S. Dist. LEXIS 22549, at *3; *Swarna v. Al-Awadi*, 622 F.3d 123, 142–43 (2d Cir. 2010).

58. Looking at all of the *Pioneer* factors together, including the absence of bad faith, Defendant's financial hardship and resulting loss of counsel, the lack of mailed notice of the key default filings, the complexity of the case and its administration under global procedures, and Defendant's prompt action once it understood the Default Judgment, the equities strongly support a finding of "excusable neglect" under Rule 60(b)(1) and "good cause" under Rule 55(c). Accordingly, the first factor in the Second Circuit's three-part test concerning willfulness and excusable neglect weighs heavily in favor of vacating both the entry of default and the Default Judgment.

III. THE PLAINTIFF WILL SUFFER NO PREJUDICE IF THE DEFAULT JUDGMENT IS VACATED

59. As to prejudice, the Second Circuit has repeatedly held that "delay alone is not a sufficient basis for establishing prejudice." *Davis*, 713 F.2d at 916. Instead, the plaintiff must show that vacatur will "result in the loss of evidence, create increased difficulties of discovery, or provide greater opportunity for fraud and collusion." *Id*.; see also *Altamirano v. Copiague Funding Corp.*, 2007 U.S. Dist. LEXIS 30310, at *6 (D. Conn. Apr. 25, 2007).

60. Here, only approximately two-(2) months has passed between the entry of the Default Judgment on October 30, 2025, and the filing of this Motion. There is no danger that any evidence may be lost or that there would be any danger of fraud or collusion.

61. Delays of this short nature and duration in filing a motion to vacate a default judgment are legally insignificant. For example, in *Mrs. Ressler's Food Prods. v. KZY Logistics LLC*, 675 Fed. Appx. 136 (3d Cir. 2017), the Court of Appeals has recently held that: "We consistently have 'emphasiz[ed] the extreme nature of a . . . default judgment,' *Poulis v. State Farm Fire & Casualty Co.*, 747 F.2d at 867 (3d 1984), and 'repeatedly [have] stated our preference that cases be disposed of on the merits whenever practicable,' *Hritz v. Woma Corp.*, 732 F.2d 1178, 1181 (3d Cir. 1984). Because entry of a default judgment is an 'extreme sanction,' *Scarborough v. Eubanks*, 747 F.2d 871, 875 (3d Cir. 1984), the entry of such a judgment is generally disfavored. *Gross v. Stereo Component Sys., Inc.*, 700 F.2d 120, 122 (3d Cir. 1983). '[I]n a close case doubts should be resolved in favor of setting aside the default and reaching a decision on the merits.' Gross, 700 F.2d at 122." See also *In re Juil, Inc.*, 52 B.R. 343 (E.D. Pa. 1985) (a motion to vacate filed seven months after the entry of default judgment was granted in favor of a decision on the merits).

62. In this case, the Trustee cannot show any cognizable prejudice from vacating the

Entry of Default and the Default Judgment. This Adversary Proceeding is one of many avoidance actions being administered under the Avoidance Action Procedures Order and the Avoidance and Mediation Procedures entered in the main Chapter 11 Case, which establish uniform, streamlined procedures and deadlines for all avoidance actions brought by the Trustee, including this one, governing the timing of responsive pleadings, fact discovery, mediation, and pretrial proceedings. No case-specific discovery has taken place as to Defendant, no individualized scheduling order or trial date has been entered in this Adversary Proceeding, and the matter remains at the pleading stage. Allowing Defendant to answer and litigate on the merits will simply place this case on the same footing as other avoidance actions that are already proceeding under those global procedures.

63. The timeline also confirms the absence of prejudice. The Clerk entered default on July 31, 2024. The Trustee then waited more than a year, until September 2, 2025, to seek a default judgment, during which time the Chapter 11 Case moved toward the consolidated avoidance-action framework embodied in the Avoidance Action Pretrial Order. By contrast, Defendant is moving to vacate a little more than month after first understanding that a Default Judgment had been entered against it. Against the backdrop of the Trustee's own lengthy delay in pursuing judgment—and the Court's recent implementation of coordinated pretrial procedures for all avoidance actions, with key milestones still ahead—the short period between entry of the Default Judgment on October 30, 2025 and this Motion cannot reasonably be characterized as prejudicial.

64. Nor is there any danger that evidence will be lost or that the Trustee's ability to prove its claims will be impaired. Defendant remains in possession of its consulting proposals, the executed consulting agreement, weekly and monthly reports, briefing scripts, performance spreadsheets, related correspondence, and banking records, and is prepared to preserve and produce those materials. *See* Figueiredo Affi. ¶ 32. The Trustee, in turn, already controls the

Debtor's and HCHK's books and records that form the basis of the Complaint and that will be used in any event under the Avoidance Action Pretrial Order. There is no indication that any witness has become unavailable or that memories have faded in the short time since entry of the Default Judgment.

65. To the extent the Trustee suggests any incremental burden from having to litigate this case on the merits, courts consistently hold that the mere loss of a tactical advantage or the need to prove a claim through ordinary litigation is not "prejudice" sufficient to defeat a motion to vacate. The Avoidance Action Pretrial Order already contemplates coordinated discovery, mediation, and pretrial scheduling for all avoidance actions, so vacatur will simply allow this case to proceed within that existing framework. If the Court perceives any residual concern about delay, it can be fully addressed by conditioning relief on prompt filing of Defendant's responsive pleading and adherence to the avoidance-action case-management orders. In these circumstances, the prejudice factor weighs strongly in favor of setting aside the Entry of Default and the Default Judgment.

IV. THE DEFENDANT HAS MERITORIOUS DEFENSES

66. One of the requirements for setting aside a default or default judgment is that the moving party demonstrate the existence of a meritorious defense, but the burden is modest. A defendant need not establish its defense conclusively; it must simply "present evidence of facts that, if proven at trial, would constitute a complete defense" and "give the factfinder some determination to make." *SEC v. McNulty,* 137 F.3d 732, 740 (2d Cir. 1998) (quoting *Enron Oil Corp. v. Diakuhara,* 10 F.3d 90, 98 (2d Cir. 1993)); *Am. Alliance Ins. Co. v. Eagle Ins. Co.,* 92 F.3d 57, 61 (2d Cir. 1996). Likelihood of success is not the measure; allegations are meritorious if they contain "even a hint of a suggestion" which, if proven at trial, would constitute a complete

defense. *Weisel v. Pischel,* 197 F.R.D. 231, 239 (E.D.N.Y. 2000); see also *Artmatic USA Cosmetics v. Maybelline Co.,* 906 F. Supp. 850, 855 (E.D.N.Y. 1995) (defense is meritorious if it raises a significant issue). Although more than mere "conclusory denials" is required, *Enron Oil,* 10 F.3d at 98, a "potentially viable" defense is sufficient to warrant setting aside a default. *Arthur F. Williams, Inc. v. Helbig,* 208 F.R.D. 41, 45 (E.D.N.Y. 2002); *Pall Corp. v. Entegris, Inc.,* 249 F.R.D. 48 (E.D.N.Y. 2007). In applying this standard, courts in the Second Circuit resolve doubts in favor of the party seeking relief from default and construe ambiguous or disputed facts in the light most favorable to the movant. *State St. Bank,* 374 F.3d at 168–69; *Davis v. Musler,* 713 F.2d 907, 916 (2d Cir. 1983). Thus, while bare conclusory denials are insufficient, it is enough that the movant identifies concrete factual defenses that, if proven, would defeat some or all of the claims.

67. In this case, the Defendant has meritorious defenses against the alleged fraudulent transfers.

68. Section 548(c) of the Bankruptcy Code and Section 278(a) of the N.Y. Debt. & Cred. Law provide that an allegedly fraudulent transfer cannot be avoided if the defendant received payment in good faith and in exchange for value. Section 548(c) provides a defense to both actual and constructive fraudulent conveyance claims under the Bankruptcy Code. *See Gowan v. Patriot Grp., LLC (In re Dreier LLP)*, 452 B.R. 391, 426 (Bankr. S.D.N.Y. 2011).

<u>Legal Elements of the Trustee's Fraudulent Transfer Claims</u>

69. The party seeking to set aside a transfer alleged to be either actual or constructively fraudulent bears the burden of proving the elements of the fraud, which it must do by a preponderance of evidence. *Bruno Mach. Corp. v. Troy Die Cutting Co. (In re Bruno Mach. Corp.)*, 435 B.R. 819, 853-854 (Bankr. N.D.N.Y. 2010).

70. For a Trustee to prevail on his actual fraudulent transfer claims under 11 U.S.C. §

548(a)(1)(A) and N.Y. DCL § 276, the Trustee must prove that the Debtor (or an alter-ego entity whose property is properly treated as the Debtor's) made the Transfers with actual intent to hinder, delay, or defraud creditors. Likewise, the Trustee's constructive fraudulent transfer claims under N.Y. DCL §§ 273 and 274 and 11 U.S.C. § 544(b) depend on showing, among other things, that the Transfers were made without fair or reasonably equivalent value and, in some instances, that the Debtor was insolvent or rendered insolvent thereby.

The Defendant provided reasonably equivalent value in <u>exchange for the Transfers</u>

71. Section 548(c) of the Bankruptcy Code provides that a transferee may retain the transfers if it "takes for value and in good faith" and provides "value to the debtor in exchange for such transfer or obligation."

72. Bankruptcy Code § 548(d)(2) defines the term "value" as "property, or satisfaction or securing of a present or antecedent debt of the debtor ...". 11 U.S.C. § 548(d)(2). To determine whether a fair economic exchange has occurred, courts look at the circumstances surrounding the transfer. *In re Actrade Fin. Techs. Ltd.*, 337 B.R. 791 (Bankr. S.D.N.Y. 2005) (citing *Balaber–Strauss v. Lawrence*, 264 B.R. 303, 307–08 (S.D.N.Y.2001)).

73. Value in both the Bankruptcy Code and N.Y. Debt. & Cred. Law Section 276 is broadly construed. *In re Khan*, No. 10-46901-ESS, 2014 WL 10474969 (E.D.N.Y. Dec. 24, 2014).

74. "Whether a transfer is for reasonably equivalent value is largely a question of fact, the determination of which perforce depends on all the circumstances surrounding the transaction." *American Tissue Inc. v. Donaldson, Lufkin & Jenrette Secs. Corp.*, 351 F. Supp. 2d 79, 105 (S.D.N.Y.2004), citing *Jackson v. Mishkin (In re Adler, Coleman Clearing Corp.)*, 263 B.R. 406, 466 (S.D.N.Y.2001).

75. Under New York law, the recipient of the debtor's property provides fair

consideration by either conveying property or discharging an antecedent debt, provided that such exchange is a “fair equivalent” of the property received or discharged. *In re Actrade Fin. Techs. Ltd.*, 337 B.R. 791 (Bankr. S.D.N.Y. 2005) (citing *Sharp*, 403 F.3d at 53 n. 3.) Whether fair consideration has been given in any circumstance is fact-driven, and not subject to any mathematical formula. *Id.* (citing *United States v. McCombs*, 30 F.3d 310, 326 (2d Cir.1994)). Determination that the transfers constitute sufficient value requires the court to examine the totality of the circumstances, including "the arms-length nature of the transaction; and . . . the good faith of the transferee." *Picard v. Cohmad Sec. Corp. (In re Bernard L. Madoff Inv. Sec. LLC)*, 454 B.R. 317, citing *Gonzalez v. Wells Fargo Bank, N.A (In re Gonzalez)*, 342 B.R. 165, 173 (Bankr. S.D.N.Y. 2006).

76. The measure of "reasonably equivalent value" is assessed “at the time of the conveyance or incurrence of debt which is challenged.” *Geltzer v. Xavarian High Sch. (In re Akanmu)*, 502 B.R. 124, citing *FCC v. NextWave Personal Commc'ns, Inc. (In re NextWave Personal Commc'ns, Inc.*, 200 F.3d 43, 56 (2d Cir. 1999). Thus, the determination of whether the Defendant provided reasonably equivalent value must be assessed when the services were provided.

77. In this case, the services provided by the Defendant had an inherent value at the time of the Transfers. As the documents submitted with this Motion show, Defendant is a *bona fide* consulting firm that was retained by GETTR to provide political-communications and strategic services in connection with GETTR’s launch and expansion in Brazil. Defendant—which has no employees other than its principal—prepared and negotiated detailed written proposals and a consulting agreement with GETTR, setting out the scope of work, fee structure, and term, and then actually performed under that agreement by delivering reports, briefing scripts, vendor

coordination, performance spreadsheets, and ongoing strategic advice, sometimes with the assistance of independent contractors in Brazil. See Figueiredo Affi. ¶¶ 12–15. The Transfers that the Trustee challenges were made in payment of these contractual obligations and were recorded and treated by Defendant as ordinary consulting revenue.

78. On this record, Defendant has a strong defense that it provided reasonably equivalent value in exchange for the Transfers. Defendant can point to the written consulting agreement with GETTR, the extension and renewal proposals, weekly reports, briefing materials, performance spreadsheets, and contemporaneous communications as evidence that it rendered substantial professional services and that the payments it received represented nothing more than fees for those services. *See* Exhibits A to H of Figueiredo Affi. These facts, if proven, would support a complete or partial defense under 11 U.S.C. § 548(c), which protects a transferee "that takes for value and in good faith," and under New York Debtor and Creditor Law's fair-consideration and good-faith requirements, because they show that the Debtor and its affiliates received concrete, quantifiable benefits in exchange for the Transfers.

79. These facts comfortably meet the governing standards for "reasonably equivalent value." Courts recognize that the value inquiry is fact-intensive and focuses on the totality of the benefits received by the debtor, including indirect economic benefits such as enhanced business opportunities or the satisfaction of existing obligations. See *American Tissue Inc. v. Donaldson, Lufkin & Jenrette Sec. Corp.*, 351 F. Supp. 2d 79, 107 (S.D.N.Y. 2004); *In re Actrade Fin. Techs. Ltd.*, 337 B.R. 791, 804–05 (Bankr. S.D.N.Y. 2005) (citing *Sharp Int'l Corp. v. State St. Bank & Tr. Co.*, 403 F.3d 43 (2d Cir. 2005)); *United States v. McCombs*, 30 F.3d 310, 326 (2d Cir. 1994). Here, GETTR and the Debtor plainly received concrete benefits from Defendant's work in Brazil – including increased user engagement, political-risk analysis, and vendor coordination – and the

challenged payments simply compensated Defendant for those benefits. On this record, Defendant's "value" defense is at least "potentially meritorious" and easily satisfies the Rule 55(c) and Rule 60(b) standard.

<u>The Defendant took the Transfers in good faith</u>

80. Courts in the Second Circuit apply an objective standard to determine good faith, asking whether the transferee "knew or should have known of the debtor's possible insolvency or fraudulent purpose" and whether the circumstances would have placed a reasonable person "on inquiry notice." *See In re Bayou Group, LLC*, 439 B.R. 284, 310–12 (S.D.N.Y. 2010) (holding that a transferee acts in good faith unless "red flags" would place a reasonable person on inquiry notice); *In re Dreier LLP*, 452 B.R. 391, 428–29 (Bankr. S.D.N.Y. 2011) (applying the objective "should have known" test and holding that good faith is defeated only where suspicious facts would prompt a reasonable businessperson to investigate). A transferee is entitled to § 548(c) protection unless the Trustee can show the presence of "red flags" that would have caused a reasonable person to conduct further investigation. *In re Bayou, 439 B.R. at 313*.

81. In this case, Defendant's interactions with GETTR were entirely at arm's-length and consistent with ordinary commercial practice. Defendant never negotiated with the Debtor personally, played no role in structuring the Debtor's entities, and had no visibility into how GETTR or its affiliates funded their operations. *<u>See</u>* Figueiredo Affi. ¶¶ 6–15. From Defendant's perspective, HCHK was merely the corporate payor for GETTR's invoices. Defendant had no involvement in, or knowledge of, any alleged scheme to hinder, delay, or defraud creditors, and no reason to suspect that the funds used to pay its invoices would later be treated as "property of the Debtor" or as proceeds of fraud. (id. ¶¶ 16–17). If credited, these facts defeat the Trustee's actual-fraud theory and establish Defendant's statutory value-and-good-faith defense under §

548(c).

82. Taken together, these defenses – reasonably equivalent value for real consulting services and good-faith receipt of payments from an apparently legitimate corporate payor – are more than sufficient to meet the "potentially meritorious" standard for purposes of Rule 55(c) and Rule 60(b). If proven at trial, they could provide a complete defense to the Trustee's fraudulent-transfer claims or, at minimum, substantially limit any recovery.

83. If the Court grants this Motion, Defendant will promptly file an Answer (*See* Figueiredo Affi. ¶ 29) and assert these defenses formally, and is prepared to develop them through testimony, documents, and, if appropriate, expert analysis (id. ¶ 32). On a litigated schedule, the record could support complete judgment in Defendant's favor or, at minimum, substantial limitation or disallowance of the Trustee's requested recovery. Under the lenient Second Circuit standard, this showing comfortably meets the requirement that Defendant present "evidence of facts that, if proven at trial, would constitute a complete defense," and the "meritorious defense" factor therefore weighs heavily in favor of vacating both the Entry of Default and the Default Judgment.

V. PUBLIC POLICY AND EQUITY CONSIDERATIONS FAVOR THE DEFENDANT

84. Strong public policy favors resolving disputes on the merits rather than by default, particularly where, as here, substantial rights and a six-figure judgment are at stake. Although courts have an interest in expediting litigation, that interest is adequately protected by enforcing defaults in cases involving egregious or deliberate conduct – not where a small consulting firm, deprived of counsel by financial hardship and confused by global case-management procedures, stumbles into a default judgment that the Trustee himself waited more than a year to seek. *See Am. Alliance Ins. Co. v. Eagle Ins. Co.*, 92 F.3d 57, 61 (2d Cir. 1996).

85. In this present case, it would be inequitable and against public policy to deny the Defendant its day in court. The default would grant the Debtors' estate a windfall it does not deserve after considering the Defendant's affirmative defenses. Furthermore, vacating the Entry of Default and the Default Judgment will not prejudice the Plaintiff's ability to litigate the case.

CONCLUSION

WHEREFORE, the Defendant requests that the Court enter an order similar in substance to the Proposed Order filed concurrently with the motion: (1) setting aside the Entry of Default and the Default Judgment entered herein, and (2) granting the Defendant thirty (30) days to file an Answer to the Complaint. The Defendant additionally requests such other and further relief as this Court may deem just and proper.

Dated: December 2, 2025

Respectfully submitted,

THE DEFENDANT
INTERNATIONAL TREASURE
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By: */s/James Nealon*____________

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